REAL ESTATE VOCABULARY

A Field Reference of Essential Terms

107 terms across 8 categories

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Financing & Mortgages

Mortgage
A loan used to purchase real estate, secured by the property itself as collateral.

Principal
The original loan amount borrowed, not including interest.

Interest Rate
The percentage charged by a lender on the loan principal, expressed annually.

APR (Annual Percentage Rate)
The total yearly cost of a loan including interest and certain fees, expressed as a percentage — usually higher than the stated interest rate alone.

Down Payment
The upfront cash a buyer pays toward the purchase price, with the mortgage covering the remainder.

Amortization
The process of paying off a loan through regular payments over time, with each payment covering both interest and principal.

Fixed-Rate Mortgage
A mortgage with an interest rate that stays the same for the entire loan term.

Adjustable-Rate Mortgage (ARM)
A mortgage with an interest rate that changes periodically based on market conditions, typically after an initial fixed period.

Pre-Approval
A lender's conditional commitment to loan a specific amount, based on a review of the buyer's financials — stronger than pre-qualification.

Pre-Qualification
An informal estimate of how much a buyer might be able to borrow, based on self-reported financial information.

Loan-to-Value Ratio (LTV)
The loan amount expressed as a percentage of the property's appraised value — a lower LTV generally means better loan terms.

Debt-to-Income Ratio (DTI)
A borrower's total monthly debt payments divided by gross monthly income, used by lenders to assess ability to repay.

PMI (Private Mortgage Insurance)
Insurance typically required on conventional loans with less than 20% down, protecting the lender if the borrower defaults.

Escrow
A neutral third-party account that holds funds or documents until specific conditions of a transaction are met.

Points (Discount Points)
Optional upfront fees paid to the lender at closing to reduce the interest rate over the life of the loan.

Underwriting
The lender's process of verifying a borrower's financial information and assessing risk before approving a loan.

FHA Loan
A mortgage insured by the Federal Housing Administration, allowing lower down payments and credit score requirements.

VA Loan
A mortgage guaranteed by the Department of Veterans Affairs for eligible service members and veterans, often with no down payment required.

Conventional Loan

A mortgage not insured or guaranteed by a government agency, typically requiring stronger credit and a larger down payment.

Refinance

Replacing an existing mortgage with a new loan, often to secure a better rate, change the term, or access equity.

The Transaction & Closing Process

Purchase Agreement
The legally binding contract between buyer and seller outlining the price, terms, and conditions of the sale.

Earnest Money
A deposit made by the buyer to show good faith when submitting an offer, typically held in escrow and applied to closing costs.

Contingency
A condition that must be satisfied for a real estate contract to become fully binding — common types include financing, inspection, and appraisal contingencies.

Due Diligence Period
A negotiated window during which a buyer investigates the property (inspections, title, financing) before the deal becomes final.

Appraisal
A licensed professional's independent estimate of a property's market value, typically required by the lender before loan approval.

Home Inspection
A professional visual examination of a property's condition, systems, and structure, performed for the buyer's benefit before closing.

Title Search
A review of public records to confirm the seller has legal ownership and to identify any liens or claims against the property.

Title Insurance
A policy protecting the buyer or lender against financial loss from defects in the property's title that a title search may have missed.

Closing
The final step of a real estate transaction where ownership legally transfers from seller to buyer and funds are disbursed.

Closing Costs
Fees and expenses — beyond the purchase price — due at closing, including lender fees, title insurance, and recording fees.

Closing Disclosure
A federally required document given to the buyer at least three days before closing, itemizing final loan terms and closing costs.

Walk-Through
A buyer's final inspection of the property, typically within 24 hours of closing, to confirm its condition hasn't changed.

Deed
The legal document that transfers ownership of real property from one party to another.

Settlement Agent
The person or company (often a title company or attorney) who conducts the closing and disburses funds.

Recording
The official filing of a deed or mortgage with the local government, making the transaction part of the public record.

Legal, Title & Ownership

Title
The legal right of ownership to a piece of property.

Clear Title
Ownership free of liens, disputes, or other claims that would prevent a sale from proceeding.

Deed of Trust
A legal document used in some states in place of a mortgage, involving a neutral trustee who holds title until the loan is repaid.

Lien
A legal claim against a property, often for unpaid debt, that must typically be resolved before the property can be sold.

Easement
A legal right allowing someone to use another person's land for a specific purpose, such as a utility line or shared driveway.

Encumbrance
Any claim, lien, or restriction on a property that may affect its transfer or reduce its value.

Encroachment
A structure or improvement that extends onto a neighboring property, violating a boundary line.

Quitclaim Deed
A deed that transfers whatever ownership interest the grantor has, without any guarantee that the title is clear.

Warranty Deed
A deed in which the seller guarantees clear title and promises to defend against future claims — offers the buyer the strongest protection.

Chain of Title
The historical sequence of ownership transfers for a property, traced through public records.

Covenant
A binding promise or restriction written into a deed, governing how a property can be used.

CC&Rs; (Covenants, Conditions & Restrictions)
Rules set by a homeowners association or developer governing property use, appearance, and behavior within a community.

HOA (Homeowners Association)
An organization that manages and enforces rules for a residential community, typically funded by mandatory member dues.

Right of First Refusal
A contractual right giving a party the option to buy a property before the owner can accept an offer from anyone else.

Eminent Domain
The government's power to take private property for public use, with the owner entitled to just compensation.

Property Types & Features

Single-Family Home
A standalone residential structure designed to house one household, on its own lot.

Condominium
An individually owned unit within a larger building or complex, with shared ownership of common areas.

Townhouse
A multi-floor home that shares one or more walls with adjacent units, typically with individual land ownership.

Multi-Family Property
A residential building containing more than one separate housing unit, such as a duplex or apartment building.

Duplex
A building divided into two separate living units, often side-by-side or stacked.

Fee Simple
The most complete form of property ownership, granting the owner full rights to use, sell, or transfer the property indefinitely.

Leasehold
A form of property interest where the holder has the right to use the property for a set period under a lease, without owning the land.

Square Footage
The total floor area of a structure, used to compare size and estimate value.

Lot Size
The total area of land a property sits on, distinct from the square footage of any structure on it.

Curb Appeal
The overall visual attractiveness of a property as seen from the street.

Fixtures
Items permanently attached to a property (like built-in cabinets or ceiling fans) that are considered part of the real estate and included in a sale.

Setback
The minimum distance a structure must be built from a property line, street, or other structure, as required by local zoning.

Mixed-Use Property
A property combining more than one use, such as retail space on the ground floor with residential units above.

REO (Real Estate Owned)
A property that has reverted to lender ownership after failing to sell at a foreclosure auction.

Investment & Valuation

Appreciation
An increase in a property's value over time, due to market conditions, improvements, or both.

Depreciation
A decrease in a property's value over time, or an accounting method allowing investors to deduct a portion of a property's cost annually.

Cap Rate (Capitalization Rate)
A property's annual net operating income divided by its purchase price or current value, used to compare investment properties.

Cash Flow
The net income remaining from a rental property after all expenses (mortgage, taxes, maintenance) are paid.

ROI (Return on Investment)
The percentage return earned on an investment relative to its cost, used to evaluate profitability.

Cash-on-Cash Return
Annual pre-tax cash flow divided by the total cash actually invested, focusing on returns relative to money out-of-pocket rather than total property value.

NOI (Net Operating Income)
A property's total income minus operating expenses, before accounting for financing costs or taxes.

Comparative Market Analysis (CMA)
An agent's estimate of a property's value based on recent sales of similar nearby properties.

Fair Market Value
The price a property would sell for on the open market between a willing buyer and seller, neither under pressure to act.

Equity
The difference between a property's current market value and the amount still owed on it.

Gross Rent Multiplier
A property's price divided by its annual gross rental income, used as a quick screening tool for rental investments.

1031 Exchange
A tax strategy allowing an investor to defer capital gains taxes by reinvesting proceeds from a sold property into a similar property.

Flipping
Buying a property, renovating it, and reselling it quickly for a profit.

BRRRR Strategy
Buy, Rehab, Rent, Refinance, Repeat — an investment approach using refinanced equity from one property to fund the next.

Turnkey Property
A fully renovated, rent-ready investment property requiring no immediate work from the buyer.

Vacancy Rate
The percentage of rental units in a market or property that are unoccupied at a given time.

Leverage
Using borrowed capital (a mortgage) to increase the potential return on an investment.

Real Estate Investment Trust (REIT)
A company that owns or finances income-producing real estate, allowing investors to buy shares without owning property directly.

Buy and Hold
A long-term investment strategy of purchasing property and retaining it for rental income and appreciation, rather than reselling quickly.

Agents, Brokers & Professionals

Real Estate Agent
A licensed professional who represents buyers or sellers in a real estate transaction.

Broker
A real estate professional with additional licensing beyond an agent, permitted to run their own brokerage and supervise agents.

Realtor
A real estate agent or broker who is an active member of the National Association of Realtors and subject to its code of ethics.

Listing Agent
The agent who represents the seller and markets the property for sale.

Buyer's Agent
The agent who represents the buyer's interests throughout the search and purchase process.

Dual Agency
A situation where one agent or brokerage represents both the buyer and seller in the same transaction — restricted or prohibited in some states.

MLS (Multiple Listing Service)
A shared database used by real estate professionals to list and search properties for sale.

Commission
The fee paid to real estate agents for their services, typically a percentage of the sale price.

Escrow Officer
The neutral professional who manages the closing process, holding funds and documents until all conditions of the sale are met.

Appraiser
A licensed professional who provides an independent, objective estimate of a property's value.

Inspection & Property Condition

Radon Testing
Testing for radon gas, a naturally occurring radioactive gas linked to health risks, often required or recommended before purchase.

Pest Inspection
An inspection specifically checking for termites, wood-destroying insects, or other pest damage.

As-Is Condition
A sale in which the seller makes no repairs or guarantees about the property's condition, and the buyer accepts it as currently existing.

Deferred Maintenance
Repairs or upkeep that have been postponed, often signaling future cost for a buyer.

Code Compliance
Whether a property's construction and systems meet current local building codes.

Certificate of Occupancy
An official document confirming a building is legally habitable and complies with applicable codes.

Survey
A precise measurement of a property's boundaries, structures, and easements, often required before closing.

Market Terms

Buyer's Market
Market conditions favoring buyers, typically marked by high inventory and slower price growth.

Seller's Market
Market conditions favoring sellers, typically marked by low inventory and rising prices.

Days on Market (DOM)
The number of days a property has been actively listed for sale, used as an indicator of demand.

Median Home Price
The middle value of home sale prices in a given market, less skewed by extreme high or low sales than an average.

Housing Inventory
The total number of homes available for sale in a given market at a given time.

Comparable Sales (Comps)
Recently sold properties similar in size, location, and condition, used to estimate a property's value.

Market Value
The estimated price a property would sell for under current market conditions.